

Accounting Methods

The rules we all follow



WHAT IS AN ACCOUNTING METHOD?

An accounting method is a set of rules used to determine how and when income and expenses are reported. In other words, it dictates how the company's transactions are recorded in the company's financial books.

There are two main types of accounting methods:

- 1 Accrual Basis of Accounting
- 2 Cash Basis of Accounting

WHAT DIFFERENCE DO THESE METHODS CREATE?

Our financial accounting greatly depends on the use of our accounting methods. The main difference between accrual and cash accounting is the time of recording our revenues and expenses. The choice of accounting method can result in differing amounts of profit being reported in the short-term period. Moreover, the taxable income is also affected by the use of our accounting methods. For accrual basis, there would be a different tax while for cash basis, the amount would be different.

In these slides, we will further discuss both cash and accrual accounting; see what are the differences between them; how can we benefit from them and do some examples to understand accrual and cash accounting.



ACCOUNTING

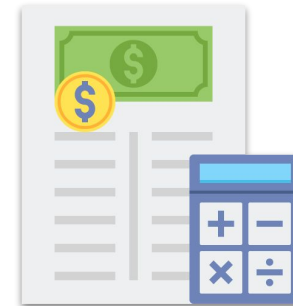
ACCRUAL BASIS

- According to accrual basis, revenues and expenses are recorded when they are earned, regardless of when the money is actually received or paid.
- Revenue is recorded when a company has earned that revenue after the service promised has been delivered and expense is recorded when it is incurred.



CASH BASIS

- According to cash basis, revenues and expenses are recorded when the transfer of cash happens between the involved parties in the transaction.
- Revenues are recorded when the cash for a service delivered is received while expense is recorded when cash is paid for those expenses.





Accrual Accounting

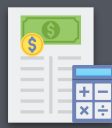
ADVANTAGES

- Gives a more realistic idea of income and expenses during a period of time, therefore providing a long-term picture of the business
- Includes account payables which keeps the company informed the amount of dues still. This can avoid a situation where a company may do major expenses in the future while forgetting the previous payables due.

DISADVANTAGES

- The awareness of cash flow can be complicated as it can have activities where you received/paid the cash at the same period or expecting them in the future; a business can appear to be very profitable while in reality it has empty bank accounts.
- Can be little complex while managing unearned revenues and prepaid expenses.





Cash Accounting

ADVANTAGES

- Simple—it only accounts for cash paid or received. Tracking the cash flow of a company is easier with the cash method.
- Saves you from paying taxes on the revenue amount that hasn't been received yet.

DISADVANTAGES

- Might overstate the health of a company that is cash-rich but has large sums of accounts payables: can lead to understated expenses or overstated income
- Doesn't show an accurate picture of when the operations associated to given transactions were being performed.



WHICH ONE TO SELECT?



Selecting and adhering to an accounting method is very important. Organizations usually select an accounting method based on their nature of operations and the accounting standards set by the law-making authorities.

According to **International Finance Reporting Standards (IFRS)** and **Generally Accepted Accounting Principles**, **Accrual Accounting** method should be used by organizations.

In **AIESEC**, we do our accounting according to **accrual basis of accounting**. Only if your country law requires you to present your yearly financial performance according to cash accounting, cash basis can be used.

But it doesn't mean that only one of the either is important. We have to understand both of the accounting methods in order to make sure that we are able to generate our three financial statements i.e. Balance Sheet, Income Statement & Cash Flow Statement.





EXAMPLES TO UNDERSTAND CASH & ACCRUAL BASIS

Example 1:

The Organizing Committee has signed a contract with a partner worth \$2000 for YSF to be scheduled in October. The conference was executed successfully and all requirements of contract were fulfilled but the partner hasn't paid yet.

How would they record this transaction according to both accrual & cash basis? Pause the video and think about this.

According to Accrual Basis, the OC will record their revenues once they have delivered all their partner deliverables. The revenue was earned once the promised services were delivered. The journal entry for accrual basis would be:

ACCRUAL ACCOUNTING	DEBIT	CREDIT
Short Term Receivables External (Partners) Asset	\$2000	
BD Revenue Youth Speak Partnerships Revenue		\$2000

While according to Cash Basis, the OC will wait until the partner has paid them the cash. The journal entry for cash basis would be:

CASH ACCOUNTING	DEBIT	CREDIT
Petty Cash Asset	\$2000	
BD Revenue Youth Speak Partnerships Revenue		\$2000



EXAMPLES TO UNDERSTAND CASH & ACCRUAL BASIS

Example 2:

On 1st October, MC XYZ paid \$1500 of which \$500 were for office rent of September and rest of \$1000 were for the rent of October & November.

According to Accrual Basis, the MC will only record \$500 as Overhead office cost only. When month of October is passed they'll record another transaction of \$500 and same when November ends, by decreasing Prepaid accounts instead of Petty Cash. This is called **prepaid expense**. The journal entry will be on 1st of October like this:

ACCRUAL ACCOUNTING	DEBIT	CREDIT
Overhead Costs (Office) Expenses	\$500	
Prepaid Expenses Asset	\$1000	
Petty Cash Asset		\$2000

For cash basis, we will be recording \$1500 and won't wait for other months since prepaid expenses have caused a reduction in our cash assets. The journal entry in case of cash basis would be:

CASH ACCOUNTING	DEBIT	CREDIT
Overhead Costs (Office) Expenses	\$1500	
Petty Cash Asset		\$1500



EXAMPLES TO UNDERSTAND CASH & ACCRUAL BASIS

Example 3:

MCVPs for MC XYZ worked in the month of December but got their December salaries in 31st January.

According to Accrual Basis, the wages expense will be recorded as an expense since the organization has availed the service of its employees for the month of December. Once we pay, we don't record again the expense, but we close the liability account instead. The journal entry in December will be:

ACCRUAL ACCOUNTING	<i>December</i>	DEBIT	CREDIT
Overhead Costs (HR) Expenses		\$5600	
Short term liabilities external (members) Liabilities			\$5600
Short term liabilities external (members) Liabilities	<i>January</i>	\$5600	
Petty Cash Asset			\$5600

In cash basis, we will not record this transaction and the expense will be recorded in January when the salaries were paid. The journal entry in January will be:

CASH ACCOUNTING	DEBIT	CREDIT
Overhead Costs (HR) Expenses	\$5600	
Petty Cash Asset		\$5600



EXAMPLES TO UNDERSTAND CASH & ACCRUAL BASIS

Example 4:

LC XYZ signs a contract to provide IGV opportunities with a company. According to contract, the company will pay \$100 when EP gets realized. The company pays \$100 in advance to the LC after an EP just got approved for their opportunity.

According to Accrual Basis, the LC will not record this revenue since they haven't earned it yet. They will record the revenue once EP is realized. This is called unearned revenue. The payment the company did would be recognize as a prepaid income.

ACCRUAL ACCOUNTING	<i>Advanced payment</i>	DEBIT	CREDIT
Petty Cash or Bank Account Asset		\$100	
	Prepaid Incomes Liabilities		\$100
Prepaid Incomes Liabilities	<i>Revenue earned on RE</i>	\$100	
	Direct Revenue: iGV Partner Fee		\$100

In cash basis, we will record this revenue since there is an increment in cash that has happened. . The journal entry in January will be:

CASH ACCOUNTING	DEBIT	CREDIT
Petty Cash or Bank Account Asset	\$100	
	Direct Revenue: iGV Partner Fee	\$100

Let's take a tool review regarding what we have learnt so far...

ACCRUAL BASIS

- Recognize revenue when it's earned i.e. service has been delivered.
- Recognize expenses when they are incurred
- Taxed on income even if the cash hasn't been received yet
- Gives an accurate information of your entity's profitability in respect to your management's obligations and activities.

CASH BASIS

- Recognize revenue when cash is received
- Recognize expense when cash is spent
- Taxes not paid on money that hasn't been received yet
- Gives a direct relationship of your entity's cash management to profits. Ideal if and only if all management transactions will be made in cash & no expectation for future receivables/liabilities

